REPUBLIC OF YEMEN

Table 1	**2022**
Population, million	33.7
GDP, current US$ billion	21.9
GDP per capita, current US$	650.3
School enrollment, primary (% gross)[a]	93.6
Life expectancy at birth, years[a]	63.8
Total GHG emissions (mtCO2e)	19.8

Source: WDI, Macro Poverty Outlook, and official data.
a/ WDI for School enrollment (2016); Life expectancy (2021).

Economic conditions in Yemen have significantly deteriorated since the formal UN-brokered truce expired in October 2022. The ongoing Houthi oil export blockade has further strained Yemen's fragile economy, leading to mounting challenges, including inflation, currency depreciation, and policy divergence. Downside risks include conflict-related developments, new adverse terms of trade shocks, and natural disasters posing a significant threat to Yemen's stability.

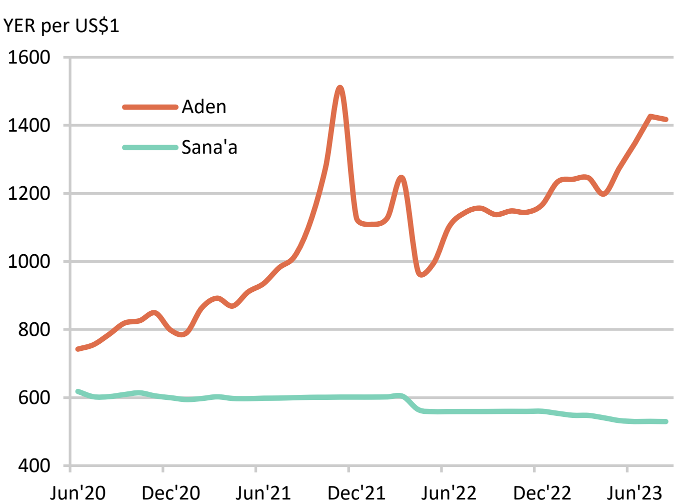
Key conditions and challenges

Yemen's humanitarian crisis is deeply rooted in its conflict and complex political and economic landscape. Between 2015 and 2022, the country has experienced a staggering 52 percent contraction in real GDP per capita, leaving two-thirds of the population, approximately 21.6 million individuals, in need of humanitarian assistance. Moreover, the ongoing conflict has intensified the fragmentation of the country into two distinct economic zones, each governed by its unique set of institutions and policies, resulting in an increasing disparity despite the evident interconnections.
During 2022, Yemen's economy showed improvement, supported by a truce that brought a glimmer of hope, albeit without the parties reaching a permanent political settlement. The two-month UN-brokered truce between the Internationally Recognized Government (IRG) of Yemen and the Houthis, starting in April 2022 and extended twice, temporarily halted offensive hostilities, providing some relief for civilians, and allowing for limited economic recovery. The truce expired in October 2022 and, although an informal truce remained in place, the situation worsened as a result of a Houthi-imposed blockade on IRG's oil exports.
Yemen continues to face deep structural challenges. Growth in the oil sector depends on Yemen's ability to attract foreign investment, which remains contingent on improving security and achieving peace. Non-oil activity continues to be constrained by interruptions in essential service delivery, acute input shortages, double taxation, widespread corruption, market distortions from uncoordinated policies, and the multiplicity of Yemen's institutions. Moreover, reliance on remittances and aid flows, coupled with climate change vulnerability, leaves Yemen exposed to external factors.
As a result, amid rising poverty and food insecurity, many households, having exhausted traditional safety nets, now resort to dire measures like child labor or high-risk jobs. To deal with widespread poverty and food insecurity, some households, particularly the better-off, can sell assets or use savings. But many more households have already exhausted these usual coping strategies and are adopting last-resort coping strategies with long-term destructive consequences.

Recent developments

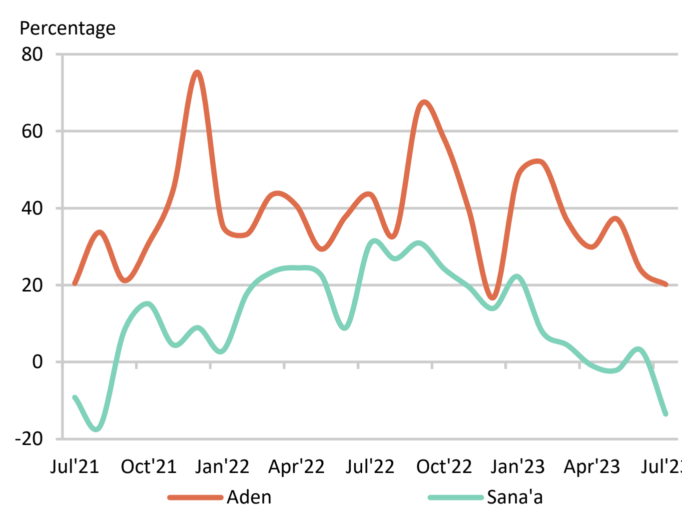
The truce's expiration triggered a series of adverse economic events that negatively impacted Yemen in 2023. Overall, GDP is projected to decrease, in reals terms, by 0.5 percent in 2023, after rebounding by 1.5 percent in 2022. The most impactful event was the Houthi blockade on IRG's oil exports, resulting in a sharp projected decline in oil production. At the same time, a relatively more volatile currency on the Aden foreign exchange market, high inflation, and an increase in

FIGURE 1 Republic of Yemen / Exchange rate trend: Sana'a and Aden



Sources: Telegram Exchange Market Group and World Bank staff calculations.

FIGURE 2 Republic of Yemen / Inflation rate: Sana'a and Aden



Sources: Reach Joint Market Monitoring Initiative and World Bank staff calculations.

hostile activities have weighed on the private sector non-oil activity.

The expiration of the truce resulted in tightened fiscal conditions. Data from the Aden MOF shows a significant decline of more than 40 percent in IRG revenues, mainly due to a sharp reduction in oil exports. In response, IRG implemented drastic cuts in expenditures, including electricity subsidies and goods and services spending. Despite these cuts, the fiscal deficit (on a cash basis) is expected to remain around 2.9 percent of GDP in 2023. The recent announcement of US$1.2 billion in Saudi budget support - with a recent deposit of US$250 million as the first tranche -, could ease some pressure, helping cover key expenses such as public sector salaries and electricity subsidies.

The halting of oil exports has increased external pressures and eroded confidence in the currency on the Aden market. The current account deficit is forecasted to reach 21.8 percent in 2023. In addition, gross liquid FX reserves are now below one month's worth of imports. As a result, confidence in the currency has been eroding since May on the Aden market. As of end-August 2023, the YER had depreciated to YER 1,418 per US$1 on the Aden market, returning to end-2021 levels; meanwhile, the YER appreciated slightly on the Sana'a market over the same period. Along with securing further assistance, replenishing reserves will be critical to maintain Yemen's economic stability and safeguard hard-won reforms.

Inflationary dynamics have continued to diverge significantly across regions in 2023. Sana'a has witnessed a sharp reduction in consumer price inflation during the first seven months of 2023, averaging 2.2 percent, compared to 20.5 percent in 2022. This reduction can be attributed to a relatively steady money supply and the base effects of the commodity price shock in 2022. Conversely, inflation in Aden has remained elevated, reaching around 34.7 percent during the first seven months of 2023, compared to an average of 39.2 percent in 2022.

Outlook

The macroeconomic outlook for 2024 remains highly uncertain, contingent on the resumption of oil exports and ongoing truce negotiations. Economic stability in the short run hinges heavily on predictable and sustainable hard currency inflows and political/military developments. Assuming oil exports resume in 2024 to 2022 levels, we project real GDP growth of 2.0 percent in 2024. However, if a lasting truce or peace agreement is achieved, Yemen's economy could see more sustained growth within months, driven by an expected rapid rebound in transport, trade, financial flows, and reconstruction financing. Over the medium term, growth is conditional on a peace agreement, prudent policies, and robust reform and recovery efforts backed by international donors. Ensuring that this growth trickles down to the most vulnerable will require sustained investments in human capital that have been severely impacted by many years of protracted conflict.

Despite some positive developments, risks to the economic outlook remain high. The recent rapprochement between regional powers marks a significant step towards alleviating longstanding regional tensions that have hindered Yemen's development prospects. Additionally, the ongoing negotiations between KSA and the Houthis could change the dynamics on the ground. However, risks persist, including the resurgence of hostile activities triggered by regional or domestic tensions, new adverse terms of trade shocks, and new natural disasters posing a significant threat to Yemen's fragile economy. Most significantly, the reduction in humanitarian aid will result in significant increases in the prevalence of the food poor. Moreover, policy inaction due to political gridlock remains a paramount risk. It could potentially yield adverse repercussions on the fiscal front, particularly considering the sluggish momentum of reforms. Such inaction might lead to an escalation in monetary financing, exacerbating inflationary pressures. Nevertheless, maintaining a sustained focus on monetary and macroeconomic stability while strengthening policy and institutional capacity can help improve the immediate macroeconomic prospects.

TABLE 2 Republic of Yemen / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2020	2021	2022	2023e	2024f
Real GDP growth, at constant market prices	-8.5	-1.0	1.5	-0.5	2.0
Inflation (Consumer Price Index)[a]	21.7	31.5	29.5	14.9	17.3
Current account balance (% of GDP)	-14.1	-17.3	-16.5	-21.8	-13.5
Net foreign direct investment inflow (% of GDP)	-0.3	3.5	0.9	0.7	0.7
Fiscal balance (% of GDP)	-4.8	-1.0	-2.8	-2.9	0.0
Revenues (% of GDP)	6.7	7.8	10.3	5.3	8.8

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices.
Notes: e = estimate, f = forecast.
a/ Inflation rates refer to end-of-period figures.